market, and DuPont ratios are used in the analysis in order to gauge the financial status and operational performance of both companies. Furthermore, horizontal and vertical comparisons are made to discover important trends and changes in financial performance over time. Additionally, the study explores the company's sustainability efforts and the company's financial and market performance in relation to its efforts of maximizing shareholder wealth. Through the comparison, the study will try to give a complete picture about the company's strengths and weaknesses and its overall situation in the cement industry of Bangladesh with a leading competitor in the industry.

CLD

Industry Overview

Cement is one of the backbones of Bangladesh's economy, feeding directly into construction, infrastructure, and real estate. Demand has climbed steadily for years, driven by urbanisation, population growth, and a steady stream of public and private development projects. The sector includes both local and multinational players, who compete on product quality, production efficiency, and market reach. At the same time, companies are contending with rising energy costs, unpredictable raw material prices, and exchange rate swings (LafargeHolcim Bangladesh PLC, 2025). Cement also has real weight in Bangladesh's capital market — several producers are listed on the Dhaka Stock Exchange (DSE), and their results move investor confidence, valuations, and share prices. That's part of why financial statement and ratio analysis matter here: they're the tools for judging a company's operational efficiency, financial strength, and capacity to create value (Dhaka Stock Exchange PLC, n.d.).

LafargeHolcim Bangladesh PLC ranks among the country's leading cement and building materials producers. It's a joint venture between Holcim Group (Switzerland) and Molins (Spain), and it runs the only fully integrated cement plant in Bangladesh, located in Chhatak, Sunamganj. What sets it apart is its access to premium limestone from its own quarry in Meghalaya, India, shipped across the border via a dedicated conveyor. Beyond cement, the company produces aggregates and runs sustainability efforts through its Geocycle waste management initiative, and its cement lines include brands like Holcim Strong Structure, Holcim Water Protect, Supercrete, and Supercrete Plus (LafargeHolcim Bangladesh PLC, 2025).

For this study, Heidelberg Materials Bangladesh PLC was chosen as the comparison company, since it operates in the same industry and serves a similar market. It's a subsidiary of Heidelberg Materials AG of Germany, the world's largest building materials manufacturer. Present in Bangladesh since 1998, it has built a strong local footprint through its RubyCement and ScanCement brands. Given its track record, market standing, and comparable business operations, it's a reasonable benchmark against which to evaluate LafargeHolcim Bangladesh PLC's financial performance (Heidelberg Materials Bangladesh PLC, 2025).

Both companies are listed on the Dhaka Stock Exchange and carry real weight in Bangladesh's capital market. Investors, analysts, and other stakeholders track their financial results and valuations closely as signals of growth prospects, profitability, and shareholder value.

Purpose of the Analysis

This study looks at the financial performance of LafargeHolcim Bangladesh PLC against Heidelberg Materials Bangladesh PLC over the past three years. It draws on profitability, asset management, liquidity, debt management, market, and DuPont ratios to assess each company's financial health and operational performance, alongside horizontal and vertical analysis to track meaningful trends and shifts over time. It also looks at each company's sustainability efforts and how their financial and market performance line up with the goal of maximizing shareholder wealth. Taken together, the analysis aims to build a clear picture of where each company stands — its strengths, its weaknesses, and its overall position in Bangladesh's cement industry relative to a leading competitor.

STLTH 2-

Industry Overview

Cement forms the backbone of Bangladesh's economy as it is directly linked to the construction and infrastructure and real estate sector. The demand has been increasing steadily for the last few years due to urbanisation, population growth and a continuous flow of public and private development projects. It consists of both local and multinational enterprises and they compete on product quality, production efficiency and market reach. Meanwhile, businesses are facing challenges like fluctuating raw material prices, exchange rate volatility, and increasing energy expenses (LafargeHolcim Bangladesh PLC, 2025). Dhaka's capital market is also not far behind in the significance of cement — several producers are listed with the Dhaka Stock Exchange (DSE) and their performance affects the investor confidence, valuations and share prices. That's one of the reasons financial statement analysis and ratio analysis are important here: they are used to evaluate the efficiency of a company's operations, its financial strength and its ability to generate value (Dhaka Stock Exchange PLC, n.d.).

LafargeHolcim Bangladesh PLC is one of the top cement and building materials companies in Bangladesh. It is a joint venture of Holcim Group (Switzerland) and Molins (Spain) and is operating 100% an integrated cement plant in Chhatak, Sunamganj, Bangladesh. The unique feature is that it has access to premium limestone material from its own limestone quarry in the border region of India in Meghalaya, which is transported through the dedicated conveyor. The company also manufactures aggregates, and implement sustainability initiatives under its waste management programme called “Geocycle”, while its cement brands include Holcim Strong Structure, Holcim Water Protect, Supercrete, and Supercrete Plus (LafargeHolcim Bangladesh PLC, 2025).

Heidelberg Materials Bangladesh PLC was selected as a comparison company because it is a company that operates in a similar market and industry. It is a company of Heidelberg Materials AG from Germany, the world's biggest building materials producer. It has been present in Bangladesh since 1998 and has gained a good market share in the country with its RubyCement and ScanCement brands. Based on its performance, market position and similar business activities, it is a fair yardstick for LafargeHolcim Bangladesh PLC financial performance (Heidelberg Materials Bangladesh PLC, 2025).

Both firms have their presence in the Dhaka Stock Exchange and have substantial influence in the capital market of Bangladesh. Financial results and valuations are closely monitored by investors, analysts and other stakeholders, as indicators of growth potential, profitability and shareholder value.

Purpose of the Analysis This study compares and analyses the financial performance of Lafarge Holcim Bangladesh PLC with Heidelberg Materials Bangladesh PLC for the last three years. It uses profitability measures, asset management, liquidity measures, debt management measures, market measures, and DuPont ratios to gauge each company's financial health and operational performance and horizontal and vertical analysis to identify meaningful trends and shifts over time. It additionally considers the sustainability activities of each firm and how the firms financial and market performance is adapting to the objective of maximizing shareholder wealth. Combined, the analysis will help to create a clear picture of the strengths, weaknesses and overall position of each company in the cement industry of Bangladesh compared to a leading competitor.

PART1-
STLTH

The interpretation of Profitability Ratios for LafargeHolcim Bangladesh PLC is presented in the following ways.The interpretation of Profitability Ratios for LafargeHolcim Bangladesh PLC is as follows:

Operating Profit Margin
The operating profit margin ratio remained positive and constant at 27.33%, 21.34% and 22.35% for the 3 years respectively. It decreased slightly in 2024 but improved in 2025, indicating that the company’s operating costs were controlled, and a significant amount of profit was generated from its operations.

Net Profit Margin
Net profit margin was positive for the entire period studied – 20.93%, 13.87% and 17.43%. Its profit declined in 2024, possibly indicating some problems in its performance; however, its ratio improved to 17.43% in 2025, indicating that the company is profitable in its performance.

Earnings Per Share

The earnings per share (EPS) has been positive in all three years. 5.12, Tk. 3.29, and Tk. 4.40. It decreased in 2024 but recovered to Tk. The shareholders' earnings (losses) were positive during the period, at 4.4, indicating that there was a net gain for shareholders.

Return on Assets
The return on assets (ROA) was positive and amounted to 16.38%, 10.44%, and 12.35%. ROA was lower in 2024, indicating that the company didn't perform as well as in the prior year and did not utilize its assets effectively. However, the ratio has enhanced in 2025 suggesting the use of assets has been more efficient for LafargeHolcim Bangladesh PLC.

Return on Equity
The ROE remained steady during the period analyzed with values of 26.73%, 20.54% and 26.80%. The firm's ROE fell in 2024, but rose in 2025, indicating better use of shareholders' equity in earning profits in the past year.

Interpretation The overall performance of LafargeHolcim Bangladesh PLC in the three years was satisfactory. However, its profitability ratios dipped slightly in 2024, but improved in 2025, which shows that the company's operations were under control and it had profits for its shareholders.

CLVR -

Interpretation of Profitability Ratios for LafargeHolcim Bangladesh PLC

Operating Profit Margin

The operating profit margin ratio was stable and positive during all three years at 27.33%, 21.34%, and 22.35%. It decreased slightly in 2024 but improved in 2025, indicating that the company’s operating costs were controlled, and a significant amount of profit was generated from its operations.

Net Profit Margin

The net profit margin remained positive throughout the analyzed period, amounting to 20.93%, 13.87%, and 17.43%. The company’s profits decreased in 2024, which could signal some issues with its performance, but the ratio improved to 17.43% in 2025, suggesting that the firm generates profit from its operations.

Earnings Per Share

The earnings per share (EPS) remained positive during the three years at Tk. 5.12, Tk. 3.29, and Tk. 4.40. It decreased in 2024 but recovered to Tk. 4.4 in 2025, which means that the shareholders’ earnings were positive throughout the period under consideration.

Return on Assets

The return on assets (ROA) was positive and amounted to 16.38%, 10.44%, and 12.35%. ROA decreased in 2024, suggesting that the company underperformed compared to the previous year and underused its assets. Nevertheless, the ratio improved in 2025, which implies that LafargeHolcim Bangladesh PLC used its assets more efficiently.

Return on Equity

The return on equity (ROE) was stable throughout the analyzed period at 26.73%, 20.54%, and 26.80%. ROE decreased in 2024, but it increased in 2025, which suggests that the firm used its shareholders' equity more efficiently when generating profits during the last year under consideration.

Interpretation

LafargeHolcim Bangladesh PLC was performing well overall during the three years under consideration. Its profitability ratios decreased slightly in 2024, but they improved in 2025, indicating that the company's operations were controlled, and the firm generated profits for its shareholders.

PART 2-
STLTH
Interpretation of Profitability Ratios of Heidelberg Materials Bangladesh PLC.Interpretation of Profitability Ratios of Heidelberg Materials Bangladesh PLC.

Operating Profit Margin
The operating profit margins of Heidelberg Materials Bangladesh PLC were 4.95%, 4.77% and 2.32% respectively. The operating profit margin of the firm shows negative trend which means that there is a drop in operating efficiency of the firm.

Net Profit Margin
The net profit margin of Heidelberg Materials Bangladesh PLC is 2.56%, 3.13% and 1.38% respectively. It has had the ability to earn profits, though there is a dramatic decline in net income in 2025.

Earnings per Share
It is impressive to see that the earnings per share of Heidelberg Materials Bangladesh PLC has remained consistent in year 2023 and 2024 at Tk. 8.13 and Tk. 8.17. The decrease was noticeable in 2025, however, when it came to the 2026-2027 period, the total was Tk. 3.55.

Return on Assets
Heidelberg Materials Bangladesh PLC had a slight increase in return on assets from 3.65% to 4.20% in 2024, but in 2025, it substantially decreased to 2.15%. This meant that the firm earned less money off of the assets.

Return on Equity
ROE for Heidelberg Materials Bangladesh PLC fell from 12.10% to 11.22% while it has plummeted to 4.80%. The decrease in return on equity indicates that the firm's shareholders' equity generates less income.

General Interpretation Heidelberg Materials Bangladesh PLC has been generating profits from its operations, but in 2025, most of the profitability ratios decreased, indicating a negative change in the firm's financial gains in comparison to previous years.

CLVR-
Interpretation of Profitability Ratios of Heidelberg Materials Bangladesh PLC

Operating Profit Margin

Heidelberg Materials Bangladesh PLC recorded an operating profit margin of 4.95%, 4.77%, and 2.32%. A negative trend is observed in the operating profit margin of the firm that indicates a decrease in the operating efficiency of the firm.

Net Profit Margin

The net profit margin of Heidelberg Materials Bangladesh PLC is 2.56%, 3.13%, and 1.38%. The firm has been able to generate profits, but a dramatic decrease in net income is observed in 2025.

Earnings per Share

The earnings per share of Heidelberg Materials Bangladesh PLC have been consistent in 2023 and 2024 at Tk. 8.13 and Tk. 8.17. However, a significant decrease occurred in 2025, registering at Tk. 3.55.

Return on Assets

Heidelberg Materials Bangladesh PLC had a slight increase in return on assets from 3.65% to 4.20% in 2024, but in 2025, it substantially decreased to 2.15%. As a result, the firm was able to generate less income from its assets.

Return on Equity

Heidelberg Materials Bangladesh PLC recorded a decrease in return on equity from 12.10% to 11.22% and significantly dropped to 4.80%. The decrease in return on equity indicates that the firm's shareholders' equity generates less income.

General Interpretation

Heidelberg Materials Bangladesh PLC has been generating profits from its operations, but in 2025, most of the profitability ratios decreased, indicating a negative change in the firm's financial gains in comparison to previous years.

LafargeHolcim Bangladesh PLC. Data						
Year	Sales	EBIT	Net Profit	Total Assets	Common Equity	Shares outstanding
	(Taka '000)					
23-24	28,388,093	7,757,799	5,941,726	36,273,899	22,226,289	1,161,374
24-25	27,542,719	5,876,892	3,819,286	36,576,790	18,591,792	1,161,374
25-26	29,313,688	6,552,150	5,108,438	41,376,674	19,063,330	1,161,374

LafargeHolcim Bangladesh PLC. Data						
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25-26	29,313,688	6,552,150	5,108,438	41,376,674	19,063,330	1,161,374

Profitability Ratio Analysis of LafargeHolcim Bangladesh PLC						
Year	Earnings Per Share (EPS) = Net Income / Shares Outstanding	Ratio	Return on Assets (ROA) = Net Income / Total Assets	Ratio	Return on Equity (ROE) = Net Income / Common Equity	Ratio
23-24	5,941,726 / 1,161,374	5.12	5,941,726 / 36,273,899	16.38%	5,941,726 / 22,226,289	26.73%
24-25	3,819,286 / 1,161,374	3.29	3,819,286 / 36,576,790	10.44%	3,819,286 / 18,591,792	20.54%
25-26	5,108,438 / 1,161,374	4.40	5,108,438 / 41,376,674	12.35%	5,108,438 / 19,063,330	26.80%

Profitability Ratio Analysis of LafargeHolcim Bangladesh PLC				
Year	Operating Margin = EBIT / Sales	Ratio	Net Profit Margin = Net Profit / Sales	Ratio
23-24	7,757,799 / 28,388,093	27.33%	5,941,726 / 28,388,093	20.93%
24-25	5,876,892 / 27,542,719	21.34%	3,819,286 / 27,542,719	13.87%
25-26	6,552,150 / 29,313,688	22.35%	5,108,438 / 29,313,688	17.43%

Profitability Ratio Analysis of Heidelberg Materials Bangladesh PLC						
Year	Earnings Per Share (EPS) = Net Income / Shares Outstanding	Ratio	Return on Assets (ROA) = Net Income / Total Assets	Ratio	Return on Equity (ROE) = Net Income / Common Equity	Ratio
23-24	459,410 / 56,504	5.12	459,410 / 12,602,100	16.38%	459,410 / 3,796,856	26.73%

24-25	461,789 / 56,504	3.29	461,789 / 11,000,831	10.44%	461,789 / 4,117,386	20.54%
25-26	200,618 / 56,504	4.40	200,618 / 9,325,215	12.35%	200,618 / 4,176,745	26.80%

Profitability Ratio Analysis of Heidelberg Materials Bangladesh PLC

Year	Operating Margin = EBIT / Sales	Ratio	Net Profit Margin = Net Profit / Sales	Ratio
23-24	889,025 / 17,955,715	27.33%	459,410 / 17,955,715	20.93%
24-25	703,752 / 14,740,223	21.34%	461,789 / 14,740,223	13.87%
25-26	336,068 / 14,515,127	22.35%	200,618 / 14,515,127	17.43%